

EXECUTIVE BOARD BRIEFING: PROJECT PRJ-001

Report Period: Month-End June 2026
Generated At: 2026-08-01 16:32:09
Classification: Internal Restricted (CFO & Board)
Standard: PRINCE2 & AACE International Compliance

1. Executive Summary

The project Composite Maritime Vessel Construction (PRJ-001) is currently at 66.9% physical progress but has breached cost tolerances, finishing with an overall status of CRITICAL OVERRUN.

Metric Name	Value (USD)	Metric Name	Value (USD)
Total Budget (BAC)	\$7,100,000.00	Actual Cost (AC)	\$5,220,810.00
Value Earned (EV)	\$4,752,500.00	Cost Variance (CV)	\$-468,310.00
Cost Performance Index (CPI)	0.91	Projected Overrun (VAC)	\$-504,218.22

2. Work Breakdown Structure (WBS) Performance Matrix

WBS	WBS Element Name	BAC	AC	EV	CPI	Status
1.0	Project Management & Engineering	\$300,000	\$419,230	\$292,500	0.70	Overrun
1.0	Structural Frame Engineering	\$400,000	\$332,500	\$360,000	1.08	On Track
1.0	Engineering Drawings & Class Approv	\$500,000	\$456,000	\$500,000	1.10	On Track
1.0	Project Control & PM	\$200,000	\$187,000	\$200,000	1.07	On Track
1.0	Hatch Engineering & FEA	\$200,000	\$180,500	\$200,000	1.11	On Track
1.0	Design & CFD Analysis	\$300,000	\$0	\$0	1.00	On Track
2.0	Hull Fabrication & Assembly	\$600,000	\$620,450	\$600,000	0.97	On Track
2.0	Hull Welding & Assembly	\$1,500,000	\$1,020,000	\$900,000	0.88	Overrun
2.0	Pontoon Assembly & Painting	\$800,000	\$740,000	\$700,000	0.95	Overrun
2.0	Molding & Testing	\$400,000	\$406,000	\$400,000	0.99	On Track
2.0	Steel Fabrication	\$800,000	\$50,000	\$0	0.00	Overrun
2.0	Material Procurement	\$500,000	\$0	\$0	1.00	On Track
3.0	Outfitting & Integration	\$400,000	\$540,445	\$400,000	0.74	Overrun
4.0	Sea Trials & Handover	\$200,000	\$268,685	\$200,000	0.74	Overrun

3. Financial Cost-Share Drivers

Analysis of actual expenditures reveals that labor accounts for the dominant share of the budget slippage:

- * Labor Actual Spend: \$4,148,810.00 (79.5% of total cost)
- * Material Actual Spend: \$1,072,000.00 (20.5% of total cost)

Resource & Audit Anomalies

Labor Overtime Violations (>45 hrs/week):

- * [ALERT] Resource Astrid Nilsen (Structural Welder) logged 1150.1 hours during Week 2026-14.
- * [ALERT] Resource Astrid Nilsen (Structural Welder) logged 842.8 hours during Week 2026-10.
- * [ALERT] Resource Erik Johansen (Senior Design Engineer) logged 485.5 hours during Week 2026-11.
- * [ALERT] Resource Astrid Nilsen (Structural Welder) logged 480.0 hours during Week 2025-46.
- * [ALERT] Resource Erik Johansen (Senior Design Engineer) logged 350.0 hours during Week 2026-19.
- * [ALERT] Resource Frank Ellingsen (Project Controller) logged 223.9 hours during Week 2026-08.

- * [ALERT] Resource Erik Johansen (Senior Design Engineer) logged 190.0 hours during Week 2025-42.
- * [ALERT] Resource Astrid Nilsen (Structural Welder) logged 46.3 hours during Week 2026-13.

High-Value Procurement Invoices (>\$50,000):

- * [AUDIT] Invoice MAT-4001 for 'Consumables & Steel Plates' was processed at \$250,000.00.
- * [AUDIT] Invoice MAT-5001 for 'Paint & Marine Alloy Plates' was processed at \$180,000.00.
- * [AUDIT] Invoice INV-001 for 'Structural Composite Carbon Sheets' was processed at \$150,000.00.
- * [AUDIT] Invoice INV-007 for 'Twin Electric Inboard Engines' was processed at \$130,000.00.
- * [AUDIT] Invoice MAT-6001 for 'Composite Cutting Fiber' was processed at \$70,000.00.

4. RAID Log & Project Risk Status

Active items on the RAID registry requiring direct board oversight:

ID	Category	Description	Impact	Probability	Owner
R-001	Risk	Delay in composite carbon sheet deliveries from	High	Medium	Morten Hansen
I-001	Issue	Astrid Nilsen welder overtime limit breached due	Medium	High	Morten Hansen
D-001	Dependency	Sea trials (WBS 4.0) depend on DNV safety and co	High	High	Frank Ellingsen

5. Corrective Action Plan & Recommendations

1. Outfitting Cost Control (Reason: Contractor Rate Increases & Design Variations): Audit outfitting contracts and renegotiate hourly rates to control labor burn. Instigate a strict change-order freeze on WBS 1.0 (PM & Engineering) and WBS 3.0 (Outfitting) to block unbudgeted design features.
2. Contract Penalty Mitigation: WBS 4.0 (Sea Trials) has slip risk. Enacting a schedule crash (overlapping testing crew shift) costs an extra \$10,000 but saves \$50,000 in liquidated damages penalty (Net Benefit: +\$40,000).
3. Resource Reallocation: Reallocate excess structural welding capacity to delayed outfitting tasks to optimize yard-wide capacity and reduce overall costs.